

Loan portfolio acquisition: high level insights

1. Portfolio characteristics

The portfolio represents a **£21.1bn** loan opportunity across **89 loans**¹ from four sectors. Manufacturing (36%) and infrastructure (28%) account for most of the loan value, green energy and real estate for 22% and 14%. More than half of the loans (54%) are high leverage² and 39% have a negative EBITDA growth forecast for 2023.

2. Concentration risk

One green energy client (ZZ513736) accounts for **£3.8bn (18%) of loan value and 51% of total EBITDA**. It makes the portfolio look healthier than it is: aggregate leverage is 2.25x and growth 8.8% including this client, but **3.7x and 1.4% without it**. Its EBITDA (£4.7bn) is around 100x the sector median and should be verified.

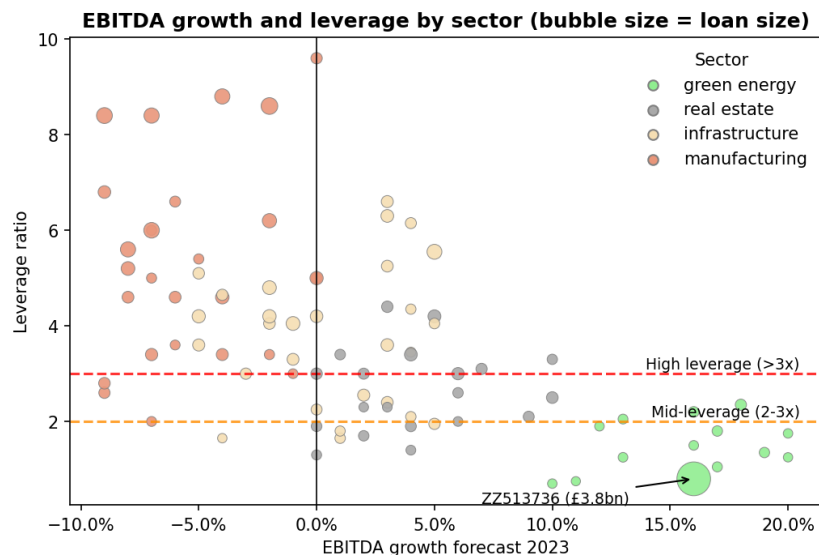
3. Risk and growth by sector

Green energy (median leverage 1.4x, growth 16%) and **real estate** (2.6x, 4%) are the most attractive sectors. **Manufacturing** (5.0x, -6%) should be avoided: no loan is below 2x and all forecasts are flat or negative. **Infrastructure** is mostly high leverage with flat growth (4.1x, 1%); only 7 of its 28 loans are at 3x or below with positive growth. Based on forecast 2023 EBITDA, green energy and real estate de-lever further, while median manufacturing leverage rises from 5.0x to 5.4x.

Recommendation

Acquire the low and mid-leverage loans (3x or below) with positive growth, **excluding ZZ513736**: 34 loans worth £3.6bn with 2.0x aggregate leverage (1.86x forecast for 2023) and 7.4% growth. Leverage stays below 2x even if growth is 5 points lower than forecast. Decide on ZZ513736 separately, once its financials are verified and the exposure is checked against single-name concentration limits. Missing and invalid data for 8 loans should be raised with the seller.

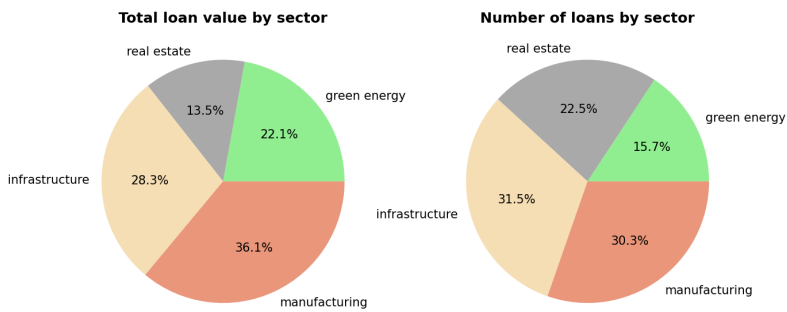
Portfolio option	Loans	Loan value	Leverage 2022	Leverage 2023 (forecast)	EBITDA growth 2023
Full portfolio	89	£21.1bn	2.25x	2.07x	8.8%
Option 1: low leverage, positive growth	19	£5.2bn	0.92x	0.80x	14.8%
Option 2: low and mid leverage, positive growth	35	£7.4bn	1.13x	0.99x	13.6%
Option 2 excluding ZZ513736 (recommended)	34	£3.6bn	2.00x	1.86x	7.4%



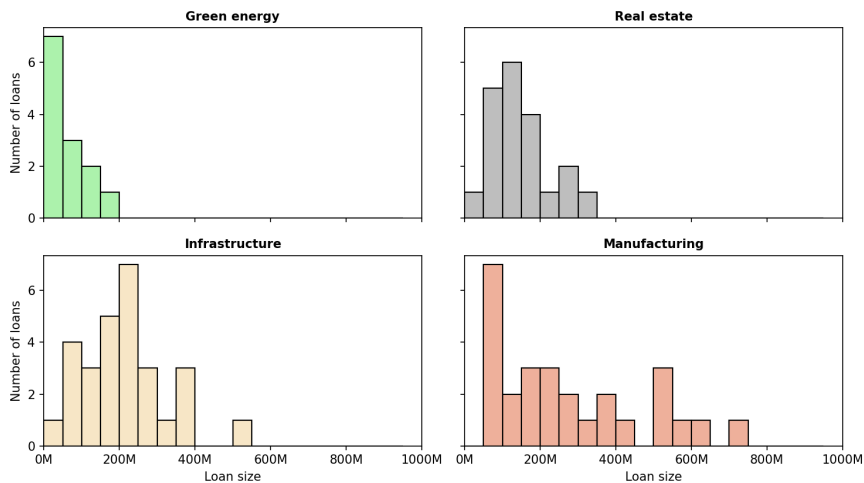
¹ The original data set contained 100 loans. 11 were removed: 3 with missing or invalid values, 3 duplicates and 5 with implausible values (e.g. EBITDA of £0, growth forecast of 600%). ² Leverage = loan size / 2022 EBITDA; 2023 leverage uses forecast 2023 EBITDA and assumes no repayments. Credit Team rules of thumb: high > 3x, mid 2x to 3x, low < 2x. Aggregate growth is weighted by EBITDA. Pricing, maturity and collateral data were not available, so this is a risk screen, not a valuation.

Appendix

Loan portfolio characteristics



Loan size distribution by sector



Note: one green energy loan of £3.8bn (ZZ513736) is outside the chart range

Key loan portfolio metrics

